

Employing in New Zealand

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant individual employment agreements (IEAs) under the Employment Relations Act
- **Monthly payroll** — salary payments in NZD, itemised payslips and Payday Filing to Inland Revenue
- **Tax withholding** — PAYE income tax and ACC Earner's Levy remitted on your behalf
- **KiwiSaver** — default employer contributions to the employee's KiwiSaver retirement scheme
- **Leave and termination management** — notice periods, entitlements and personal grievance risk guidance

Employment Conditions

Contracts & Probation

Every employee must have a written individual employment agreement (IEA) under the Employment Relations Act 2000. New Zealand employees have unjustified dismissal protections from day one of employment — there is no statutory qualifying period. Employers of any size may use a 90-day trial period, provided it is agreed in writing before the employee starts and the employee has never worked for the employer before.

Item	Detail	Legal Basis
Written employment agreement	Mandatory for every employee, must include core terms	Employment Relations Act 2000
90-day trial period	Available to employers of any size; employee cannot raise a personal grievance for dismissal during the trial	Employment Relations Act 2000, s.67A
Unjustified dismissal protection	Applies from day one — no minimum service qualifying period	Employment Relations Act 2000
Contractor classification	New statutory 5-part "gateway test" for genuine contractor status from 21 Feb 2026	Employment Relations Amendment Act 2026

Working Hours & Overtime

New Zealand has no general statutory maximum working week or mandated overtime premium — hours and any overtime loading are set by the individual employment agreement, subject to good-faith obligations and health and safety limits.

Rule	Detail	Authority
Standard hours	Set by agreement; commonly 40 hours/week full-time	Employment Relations Act 2000
Overtime premium	Not statutory — set entirely by the employment agreement	Employer/agreement discretion
Rest and meal breaks	Reasonable breaks required; specifics may be agreed in the IEA	Employment Relations Act 2000, Part 6D

Minimum Wage & Statutory On-Costs (from 1 April 2026)

Measure	Rate	Notes
Adult minimum wage	NZD 23.95/hour	Effective 1 April 2026
Starting-out / training wage	NZD 19.16/hour	80% of the adult rate
KiwiSaver default contribution	3.5% employer + 3.5% employee	Up from 3% on 1 April 2026; rising again to 4% from 1 April 2028; now also applies to eligible 16–17 year-olds
ACC Earner's Levy	1.75% (employee-side, via PAYE)	Capped at NZD 156,641 in liable earnings/year

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	4 weeks/year	Employer	Entitlement crystallises after 12 months' continuous employment
Sick Leave	10 days/year	Employer	Available after 6 months' continuous employment; unused days carry over (capped at 20 total)
Bereavement Leave	3 days per event (immediate family); 1 day (wider bereavement)	Employer	Available after 6 months' continuous employment
Parental Leave	Up to 52 weeks, shared between parents	Government-funded Parental Leave Payment for up to 26 weeks	Job-protected; eligibility depends on hours/tenure with the employer
Public Holidays	11 national public holidays/year, plus 1 regional anniversary day	Employer	Paid at relevant daily pay if the employee would otherwise have worked

★ HERO TIP

New Zealand's Holidays Act 2003 leave calculations (Ordinary Weekly Pay vs. Average Weekly Earnings) are notoriously easy to get wrong, and a proposed Employment Leave Bill may replace the whole framework with an hours-based accrual model in the coming years. Confirm with your HeroForce EOR which calculation method applies to variable-hours employees before finalising an offer.

Payroll, Tax & Contributions

Employer Costs (2026-27)

Contribution	Employer Rate	Notes
KiwiSaver employer contribution	3.5% of gross salary (default)	Subject to Employer Superannuation Contribution Tax (ESCT), a flat rate withheld from the employer's own contribution
ACC Work Levy	Industry-specific (average ~0.9%)	Employer-funded, based on the employee's Classification Unit (CU) code

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
KiwiSaver employer contribution (3.5%)	\$105.00	3.50%
ACC Work Levy (illustrative, ~0.9%)	\$27.00	0.90%
EOR service fee (HeroForce, Tier 1)	\$400.00	13.33%
Estimated total monthly cost	~\$3,532.00	~117.7%

HeroForce EOR service fee shown at USD \$400 per employee per month (Tier 1 pricing), no setup fee. ACC Work Levy varies significantly by industry classification. Employee deductions (withheld separately) include PAYE income tax, the ACC Earner's Levy (1.75%) and KiwiSaver (3.5% default).

Income Tax (2025-26 and 2026-27 tax years)

New Zealand has no tax-free threshold — PAYE applies from the first dollar earned. Brackets are unchanged for the 2026–27 tax year.

Annual Income (NZD)	Rate
\$0 – \$15,600	10.5%
\$15,601 – \$53,500	17.5%
\$53,501 – \$78,100	30%
\$78,101 – \$180,000	33%
Above \$180,000	39%

Termination & Separation

Notice & Dismissal

New Zealand has no statutory minimum notice period — notice is whatever is agreed in the individual employment agreement, or "reasonable notice" if the agreement is silent. There is also no general statutory redundancy pay entitlement unless the employment agreement provides for it.

Item	Detail	Key Rule
Notice period	As agreed in the IEA; commonly 2-4 weeks in practice	No statutory minimum
90-day trial dismissal	No personal grievance for dismissal available if trial correctly used	Employment Relations Act 2000, s.67A
Redundancy compensation	Not statutory — payable only if the IEA includes a redundancy clause	Contract-dependent
Good faith obligation	Genuine consultation required for restructuring/redundancy regardless of trial status	Employment Relations Act 2000

★ HERO TIP

New Zealand's day-one unjustified dismissal protections mean there is no "safe" early period outside a correctly-used 90-day trial — get the trial clause right before the employee's first day, since it cannot be added retrospectively. Always route New Zealand terminations through your HeroForce EOR to confirm whether the trial period was validly used before assuming reduced risk.

Public Holidays 2026 (National)

New Zealand observes 11 national public holidays in 2026, plus one regional anniversary day that varies by location (12 total for most employees).

Date	Holiday	Type
1 January	New Year's Day	National
2 January	Day after New Year's Day	National
6 February	Waitangi Day	National
3 April	Good Friday	National
6 April	Easter Monday	National

25 April (observed 27 April)	Anzac Day	National (Mondayised, falls on a Saturday)
1 June	King's Birthday	National (first Monday in June)
10 July	Matariki	National (date set annually by the Matariki Advisory Committee)
26 October	Labour Day	National (fourth Monday in October)
25 December	Christmas Day	National
26 December (observed 28 December)	Boxing Day	National (Mondayised, falls on a Saturday)

Each of New Zealand's 12 regions also observes its own provincial anniversary day on top of the national list above.

Ready to hire in New Zealand?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first New Zealand employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$400** per employee per month, no setup fee (Tier 1).